Xi, Trump, and Putin will overshadow a low-stakes APEC

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【メール原文】

A potential China-Russia-US summit would be short on substance, China-Japan relations will see no breakthrough, and the US-China summit will likely pr

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Foreign Policy
Geopolitics will overshadow the APEC summit. The most notable events will take place on the sidelines. President Xi Jinping will likely meet with presidents Donald Trump and Vladimir Putin, possibly in a trilateral format, while continuing to give Japanese Prime Minister Takaichi Sanae the cold shoulder. Xi will likely also meet with the leaders of Canada and South Korea. Deliverables from the broader APEC summit are otherwise expected to be modest.

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A China-Russia-US summit would be short on substance. Both Moscow and Washington are interested in a trilateral, although questions remain over format and agenda. Beijing prefers a more limited, scripted engagement, while Trump is pushing to discuss arms control, a topic that China is extremely reluctant to negotiate until it can reduce its quantitative disadvantage compared to the US.
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There will be no breakthrough in China-Japan relations. Tokyo has turned down Beijing’s offer for Takaichi to meet with Premier Li Qiang, because it sees the proposal as an attempt to downgrade her official status. China has given no indication that it will soften its broader pressure campaign against Japan.
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China will mostly play defense at the ASEAN summit, to be held in the Philippines on 15-16 November. Premier Li Qiang will likely aim to minimize friction between Beijing and Manila over the South China Sea. Philippine efforts to conclude a code of conduct between ASEAN and China over the South China Sea by the end of 2026 will fall short amid continuing disagreements.

US-China

APEC summit will likely yield limited progress on deliverables. Trump is expected to meet Xi on the sidelines of APEC next week. US Treasury Secretary Scott Bessent is also expected to meet Chinese Vice Premier He Lifeng to discuss AI and trade ahead of the summit.

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Extending the trade truce before APEC faces significant hurdles. Bessent, He, and US Trade Representative Jamieson Greer spoke on 6 November. US readouts suggested dissatisfaction with China's delivery on agricultural purchases and critical minerals exports; Washington wants progress on both fronts before extending the truce. Negotiations will likely continue until the next leaders' meeting at the G20 summit.

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Beijing will seek to contain tensions before and between the two summits. The Chinese readout of Foreign Minister Wang Yi's 11 November call with Secretary of State Marco Rubio signaled Beijing's intention to maintain cordial relations. Preserving managed stability will remain a priority, even as China is expected to take targeted retaliatory measures in response to recent US actions, including new Uyghur Forced Labor Prevention Act listings and anticipated additional Federal Communications Commission restrictions.

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Renewed momentum behind export control legislation could increase tensions next year. The Nvidia scandal raises the likelihood that the US will include stronger chip export controls in the National Defense Authorization Act (see: Nvidia scandal increases odds of stronger export controls , 9 November 2026). Beijing has expressed its opposition to the Multilateral Alignment of Technology Controls on Hardware Act (MATCH) and would retaliate if the US passes and implements it. Even if enacted, however, these measures would not take effect until later next year.

Graphic of the Week

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China's producer prices rose 5.7% from a year earlier in October, the fastest pace since mid-2022, reflecting cost-push inflation from the Hormuz crisis rather than a recovery in demand. Fuel, chemicals, and metals account for roughly 85% of the increase, driven by the war's energy shock and higher metal prices. Consumer goods makers are still cutting prices, and core consumer inflation is under 1%. Weak demand means upstream costs are squeezing manufacturers' margins rather than passing through to households.

Economic Policy

China's tax law overhaul will tighten oversight of local collectors while expanding enforcement against firms and their executives. Beijing published the draft revision of the Tax Collection and Administration Law, the first comprehensive overhaul since 2001, for comment on 6 November. Comments close on 5 December. The revision comes amid rising corporate back-tax disclosures and a sharp decline in local land-sale revenue (see: China will tighten offshore taxation as fiscal pressure mounts , 13 August 2026).

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Local overreach will face more legal checks if the law is thoroughly enforced. Coercive collection from individuals and recovery of evaded tax beyond normal time limits would need approval from city-level tax offices or higher authorities. Late-payment surcharges would be capped at twice the tax owed. Firms could also seek administrative review before paying disputed tax, though they would still need to pay or post security to go to court.

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Enforcement will become more data-driven with increasing cross-platform integration. Tax authorities would gain a legal basis to use data from banks, internet companies, and other third parties to flag discrepancies in returns and to act on information received under tax treaties. Platforms' existing duty to report sellers' and workers' incomes would become law, with fines of up to 2 million yuan. Authorities could also recalculate tax on arrangements that lack a genuine business purpose.

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Exit-ban risk will widen. In suspected major cases, provincial tax authorities could bar legal representatives, principal executives, and actual controllers from leaving China before establishing any arrears. The definition of those terms remains ambiguous, and the draft sets no time limit.

Taiwan

China will continue to step up diplomatic coercion against Taiwan. Taiwan's foreign ministry announced it will close its representative office in Papua New Guinea (PNG) in response to its government's demands. The closure marks the first time Taiwan has had to shut an unofficial representative office in a country with which it already has no diplomatic relations.

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Chinese encouragement was likely behind PNG's demand. The Chinese foreign ministry praised PNG's decision and said Beijing will increase liquefied natural gas (LNG) imports from PNG and deepen economic cooperation. Taiwan suspended LNG purchases from PNG in July, when PNG first demanded that Taipei close its office.

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The move fits a broader pattern of intensifying Chinese efforts to shrink Taiwan's international space. Lithuania is currently in talks with Taiwan to downgrade the name of its representative office from "Taiwanese" to "Taipei." Last month, Pakistan temporarily banned Taiwanese airlines from accessing its airspace, citing adherence to the One China policy.

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Taiwan has selectively used its economic leverage to fight back against Chinese diplomatic pressure on third countries. In September 2025, it imposed chip export controls on South Africa for two days to prevent the closure of the Taipei Liaison Office in Pretoria. Taiwan also announced on 11 November that it is suspending investment talks with Malaysia in retaliation for Prime Minister Anwar Ibrahim's August comment that Taiwan is part of China.

Standing Calls

Notes underpinning calls:

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Hybrids deal won't stop gradual EU trade policy tightening , 14 October 2026

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Summit lowers odds of year-end bilateral breakdown , 25 September 2026

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Beijing’s growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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15 November: Comment period ends for China's newly announced AI export controls

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16–18 November: ASEAN summit in Manila

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18–19 November: APEC summit in Shenzhen

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22 November: Hong Kong Election Committee elections

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28 November: Taiwan local elections

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7 December: Comment period ends for Treasury’s COINS Act draft rule

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Second week of December: Central Economic Work Conference in Beijing

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14–15 December: G20 leaders’ summit in Miami

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10 January: US-China truce extension expires

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Late March: Hong Kong Chief Executive elections

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